

25AVCV01558 25AVCV01558

County: los-angeles

Division: Civil Law and Motion

Department: A14

Hearing date: 2026-09-01

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Case Number: 25AVCV01558 Hearing Date: September 1, 2026 Dept: A14

SUPERIOR COURT OF THE STATE OF CALIFORNIA

COUNTY OF LOS ANGELES – NORTH DISTRICT

AMERICAN NATIONAL PROPERTY AND CASUALTY COMPANY,

Plaintiff,

v.

DILLON S. SANDIDGE, an individual; and

DOES 1 through 10, inclusive,

Defendants.

Case Number 25AVCV01558

[TENTATIVE]

RULING ON MOTION

Date of Hearing: September 1, 2026

Dept. A-14

Judge William H. Forman

I. Background

This is an insurance coverage action related to an underlying third-party lawsuit. Defendant Dillon S. Sandidge (Defendant) moves the Court to stay the proceedings.

On August 18, 2025, in a separate but related action, Defendant's tenant, Casey Mitchell-Collier (Collier) filed a lawsuit against Defendant (Case No. 25AVCV01029) asserting causes of action for breach of implied warranty of habitability, negligence, fraudulent concealment, and retaliation (Collier Action). Collier alleges that he began leasing the master bedroom and private bathroom at the subject property from Defendant in 2021, and that throughout his tenancy, he had been subjected to prolonged exposure to mold contamination due to Defendant's failure to complete necessary repairs, and, in May of 2025, was subjected to retaliation by Defendant. (Compl., ¶¶ 6-13.)

On November 21, 2025, Plaintiff American National Property and Casualty Company, doing business as Pacific Property and Casualty Company (Plaintiff) filed a complaint against Defendant asserting two causes of action for (1) declaratory relief and (2) equitable reimbursement. Plaintiff asserts that it issued a homeowners policy to Defendant under Policy No. 04-X-785-48W, with coverage in effect from July 13, 2013 through July 13, 2025 (the Policy) for the subject property located at 43141 Hampton Street, Lancaster, CA. (Compl., ¶ 14.) In light of the terms of the Policy, which excludes coverage for bodily injury arising from, caused by, contributed to, aggravated by, or resulting from mold, Plaintiff agreed to defend Defendant in the Collier Action under the Policy and under a reservation of rights and offered to provide Defendant with independent counsel pursuant to Civil Code section 2860. (Compl., ¶¶ 15-24.) Plaintiff contends there is no coverage under the Policy for the Collier Action, while Defendant disputes some or all of Plaintiff's contentions and believes there is some coverage for the Collier Action. (Compl., ¶¶ 26-28.) Plaintiff seeks declaratory relief as to the parties' respective rights and obligations under the Policy and seeks reimbursement of all costs it has and will incur to defend Defendant in the Collier Action. (Compl., ¶¶ 29, 33.)

On April 1, 2026, Defendant filed his answer.

On June 2, 2026, Defendant filed the instant motion to stay the proceedings pending resolution of the Collier Action.

On July 2, 2026, in the Collier Action, Collier filed the operative second amended complaint (SAC), asserting causes of action against Defendant for (1) breach of contract, (2) breach of implied warranty of habitability, (3) negligence, (4) fraudulent concealment, (5) intentional misrepresentation and fraud, (6) negligent misrepresentation, (7) wrongful eviction, (8) violation of Business and Professions Code section 17200 et seq., (9) retaliation, and (10) violation of Civil Code section 1950.5, et seq.

On August 19, 2026, Plaintiff filed its opposition.

On August 25, 2026, Defendant filed his reply.

II. Request for Judicial Notice

Defendant's Request for Judicial Notice – Defendant requests that the Court take judicial notice of Collier's motion for leave to file a second amended complaint and supporting documents, and Collier's proposed second amended complaint, filed in Casey Mitchell-Collier v. Dillon Sandidge, Los Angeles Superior Court, Case No. 25AVCV01029.

Defendant's request is GRANTED. (Evid. Code, §§ 452, subd. (d), 453.)

The Court, on its own motion, also takes judicial notice of the Second Amended Complaint filed by Collier in *Casey Mitchell-Collier v. Dillon Sandidge*, Los Angeles Superior Court, Case No. 25AVCV01029 on July 20, 2026 pursuant to Evidence Code section 452, subdivision (d). The Second Amended Complaint, although filed after the present motion was filed, is relied upon by Plaintiff in opposition to the motion and Defendant on reply. Defendant also relies upon the proposed Second Amended Complaint in his moving papers, and the Court therefore finds that both parties are sufficiently on notice of the contents within and the effect of the Second Amended Complaint. The Court does not take any facts asserted within the Second Amended Complaint as true, and only takes judicial notice of the fact that the Second Amended Complaint was filed and of its allegations.

III. Legal Standard

Standard for Motion to Stay Proceedings – “Trial courts generally have the inherent power to stay proceedings in the interests of justice and to promote judicial efficiency.” (*Freiberg v. City of Mission Viejo* (1995) 33 Cal.App.4th 1484, 1489.) The trial court has the authority to control litigation before it in order to ensure the orderly administration of justice. (See Cal. Code Civ. Proc. §§ 128, 187; *Rutherford v. Owens-Illinois, Inc.* (1997) 16 Cal.4th 953, 967 [“It is also well established that courts have fundamental inherent equity, supervisory, and administrative powers, as well as inherent power to control litigation before them.”].)

IV. Discussion

Application – Defendant moves the Court for an order staying all proceedings in the present action, including discovery and any obligations to respond beyond what is necessary to preserve rights, pending final resolution of the Collier Action, including any and all trial and appeals. (Motion, p. 1:24-8.) Defendant moves on the grounds that the present action seeks to adjudicate the exact same factual issues central to the Collier Action, and permitting Plaintiff to litigate overlapping issues would force Defendant to litigate duplicate claims, risk inconsistent factual determinations, prejudice Defendant’s defense in the Collier Action, and improperly provide Plaintiff with a discovery roadmap. (Motion, p. 2:1-7.)

Generally, “an action in declaratory relief will not lie to determine an issue which can be determined in the underlying tort action” and “[t]he declaratory relief statute should not be used for the purpose of anticipating and determining an issue which can be determined in the main action.” (Cal. Ins. Guar. Ass’n v. Superior Court (1991) 231 Cal.App.3d 1617, 1623.) In the context of insurers seeking declaratory relief regarding their duty to defend their insureds, California courts have consistently held that “[t]o eliminate the risk of inconsistent factual determinations that could prejudice the insured, a stay of the declaratory relief action pending resolution of the third party suit is appropriate when the coverage question turns on facts to be litigated in the underlying action.” (*Montrose Chemical Corp. v. Superior Court* (1993) 6 Cal.4th 287, 301.) In such cases, if “the question of coverage turns upon one or more factual issues which will necessarily be resolved in the underlying action, then it [is] entirely appropriate for the trial court to stay the declaratory relief action pending resolution of those issues.” (Cal. Ins. Guar. Ass’n, *supra*, 231 Cal.App.3d at 1628.)

As has been established by the California Supreme Court and reaffirmed by numerous appellate courts, “[i]f the factual issues to be resolved in the declaratory relief action overlap with issues to be resolved in the underlying litigation, the trial court must stay the declaratory relief action. If there is no such factual overlap and the declaratory relief action can be resolved on legal issues or factual issues unrelated to the issues in the underlying action, the question as to whether to stay the declaratory relief action is a matter entrusted to the trial court’s discretion.” (*Great American Ins. Co. v. Superior Court* (2009) 178 Cal.App.4th 221, 235-236 (emphasis added).)

Therefore, “a coverage action may proceed if the coverage issue is one of law or turns upon factual questions that are logically unrelated to the matters at issue in the underlying action.” (GGIS Ins. Services, Inc. v. Superior Court (2008) 168 Cal.App.4th 1493, 1505.) Here, neither avenue for denying a stay is present.

Plaintiff’s opposition to a stay is grounded in one argument: Plaintiff’s duty to defend in the Collier Action can be decided on (1) purely legal grounds, because whether the exclusions under the Policy serve to preclude coverage for the Collier Action can be determined solely on the allegations of the Collier SAC and Policy terms, and (2) factual issues entirely unrelated to the factual questions to be resolved in the Collier Action. (Opp., p. 4:26-5.) Ultimately, Plaintiff argues that Defendant is unable to demonstrate there is any potential for coverage based on (1) the allegations in Collier’s SAC and (2) the exclusions to coverage under the operative Policy. (Opp., p. 4:26-27.) Plaintiff is incorrect for a number of reasons.

First, Plaintiff misstates the applicable standard for denying a stay in insurance coverage proceedings in arguing that the motion should be denied because Defendant cannot establish coverage under the Policy and is unable to demonstrate that coverage questions turn on facts that need to be litigated in the Collier Action. (Opp., p. 4:26-27.)

“A duty to defend arises upon the tender to the insurer of a potentially covered claim and continues until the lawsuit is concluded or until the insurer shows that facts extrinsic to the third party complaint conclusively negate the potential for coverage. [Citation.] If a duty to defend arises, the insurer must defend the action in its entirety, including claims that are not potentially covered.” (GGIS Ins. Services, Inc., supra, 168 Cal.App.4th at 1505 (emphasis added).) Thus, where there is a potential for coverage, the burden is on the insurer to establish that facts extrinsic to the SAC conclusively negate the potential for coverage.

The subject Policy provides that Plaintiff will pay for and provide a defense to Defendant, pay up to its limit of liability for bodily injury or property damage that Defendant is legally obligated to pay resulting from an occurrence covered by the policy, and cover claim expenses incurred in defending Defendant from an occurrence. (Opp., Ex. B, p. 16-17.) Here, Collier’s third cause of action against Defendant alleges that Collier developed “serious physical injuries arising from the unsafe conditions at the Subject Property, including but not limited to respiratory and allergy symptoms, congestion, headaches, and other health complications.” (SAC, ¶ 69.) Under the terms of the Policy, this gives rise to a potentially covered claim and thus, gives rise to Plaintiff’s duty to defend. The burden is therefore on Plaintiff to establish facts extrinsic to the SAC that conclusively negate the potential for coverage.

Plaintiff has failed to do so. Plaintiff’s causes of action are grounded in its assertions that (1) the underlying injury in the Collier Action arose out of the infiltration of mold in the insured Property, coverage for which is excluded under the Policy, (2) the claim for retaliation is not a covered claim as it is not caused by an occurrence, but rather, intentional conduct, and the claimed damage does not qualify as either bodily injury or property damage, and (3) the claim for punitive damages is expressly excluded under the Policy. (Compl., ¶ 27.) In opposition, Plaintiff further asserts, in light of Collier’s recently filed SAC asserting claims that Defendant rented bedrooms in the Property to multiple tenants, that an additional exclusion for coverage applies as Defendant was using the Property for business purposes. (Opp., p. 2:5-28.)

As stated above, where there is a potentially covered claim, the insurer must defend the action in its entirety, including any and all claims that are not potentially covered. (GGIS Ins. Services, Inc., supra, 168 Cal. App. 4th at 1505.) For this reason, among others discussed herein, Plaintiff’s arguments that the claims in the SAC for retaliation and punitive damages are not covered by the Policy are inapposite. If any cause of action asserted in the SAC gives rise to potential coverage, Plaintiff must defend the entire action, including the retaliation and punitive damages claims.

Second, Plaintiff’s assertion that whether the mold exclusion would preclude coverage for the underlying claim is “a legal issue that can be made solely based on the allegations of the underlying complaint and the policy documents” is not necessarily accurate. (Opp., p. 4:28-5:1.)

The Policy provides that coverage shall not apply to bodily injury “arising out of, caused by, contributed to, aggravated by, or resulting from (whether directly or indirectly, concurrently, or in any sequence to the bodily injury or property damage)” any type of fungus, including mold. (Bowen Decl., Ex. B, p. 20, ¶¶ (p)-(q).)

Collier's SAC does allege physical injury that is not solely based on the existence of mold in the Property. Collier's third cause of action for negligence alleges that Defendant breached his duty of care because he was negligent in failing to remediate "ongoing water leaks, water damage, structural deficiencies, excess moisture, mold, dust mites, other related allergens, and inadequate heating in the [] Property in a timely manner," constituting a "dangerous and unreasonable risk of harm." (SAC, ¶ 66.) Collier further alleges a breach of duty in that Defendant failed to "repair a long standing plumbing defect that caused water intrusion, dampness, mold, dust mites, and other related allergens." (SAC, ¶ 67.) Collier alleges that "[a]s a direct and proximate result of [Defendant's] breach of [his] duty of care, [Collier] developed serious physical injuries arising from the unsafe conditions at the Subject Property, including but not limited to respiratory and allergy symptoms, congestion, headaches, and other health complications." (SAC, ¶ 69.) Defendant expressly disputes these allegations.

Plaintiff's opposition, in effect, asserts that as a matter of law and based on the language of the Policy and SAC, any and all bodily injury allegedly suffered by Collier was caused by mold on the Property. Unquestionably Collier alleges, in part, physical injury arising from mold. Collier also alleges physical injury arising from conditions caused by water leaks, water damage, structural deficiencies, excess moisture, dust mites, dampness, related allergens, and inadequate heating. The Court cannot now determine that this cause of action arises solely from bodily injury caused by mold, and it is clear from the face of the SAC and the Policy that there exist questions of fact as to whether Collier suffered injury, and whether that injury was caused by, contributed to, aggravated by, resulted from, or arose from mold, or instead caused by some other condition, including the numerous other property conditions already alleged in the SAC, none of which exclude coverage under the operative Policy.

Third, Plaintiff's argument that the new allegations in the SAC establish that an additional exclusion is applicable, namely the business pursuits exclusion, is unavailing. (Opp., p. 5:8-15.) Plaintiff argues that "[i]t is now clear based on the facts alleged in the [SAC] that [Defendant] had more than two roomers or boarders renting out the [Property], and the business pursuits exception would therefore apply." (Opp., p. 3:2-4.) To the extent Plaintiff argues the SAC establishes, as a matter of law, that Defendant rented the Property to more than two tenants at one time, Plaintiff's argument lacks merit. The allegations in the SAC are just that, allegations. These allegations are disputed by Defendant. Allegations included in a complaint are not fact, and cannot be used to establish the existence of disputed, material facts to establish the applicability of a coverage exclusion as a matter of law. "[C]urrent pleading rules liberally allow amendment; the third party plaintiff cannot be the arbiter of coverage." (Montrose Chemical Corp., supra 6 Cal. 4th at 296.) The Court also notes that while the Policy has a business pursuits exclusion, this exclusion does not apply to activities which are ordinarily incident to non-business pursuits or to the rental of a residence in part by two or fewer roomers or boarders. (Bowen Decl., Ex. B, p. 18.)

Plaintiff also argues that "[w]hether or not Defendant had more than two renters in the [Property] is a fact that is unrelated to the issues raised in the [Collier Action]" and that "[i]t makes no difference to any of the alleged claims in the [Collier Action] whether Defendant had two or more renters in the home." (Opp., p. 3:4-7.) This assertion is also incorrect.

To start, for the Court to find that the business exclusion applies to the Collier Action, it would have to make certain factual findings. The Court might be asked to resolve (1) whether Defendant rented the Property to more than two tenants and when, (2) when the alleged bodily injuries arose and the cause of such injuries, (3) whether the Property was being used for business purposes at the time the alleged bodily injuries were sustained, and (4) whether the alleged bodily injuries were caused by activities ordinarily incident to non-business pursuits. These factual determinations directly overlap with the necessary factual issues raised in Collier's SAC.

As Defendant notes, this overlap is also evidenced by Plaintiff's already-propounded discovery. On August 18, 2026, Plaintiff propounded Requests for Admission, which read as follows:

1. Admit that during the time period of April 1, 2021 to July 31, 2025, you operated the insured home located at 43141 Hampton Street, in Lancaster, California, as a multi-occupant residential rental property by renting the individual bedrooms to separate tenants.
2. Admit that you rented a room in the insured [Property] to [Collier] beginning on April 1, 2021, and ending on or about July 31, 2025.

3. Admit that at various times during [Collier's] tenancy, all four bedrooms at the [Property] were rented to different occupants, and at other times you occupied one bedroom while continuing to rent the remaining bedrooms to separate tenants.

(Bowen Decl., Ex. C, p. 2:2-11.) The SAC alleges, in relevant part, that "[t]hroughout [Collier's] tenancy, [Defendant] did not use the Subject Property as a simple owner-occupied shared residence, but instead operated it as a multi-occupant residential rental property by renting the individual bedrooms to separate tenants," that "[a]t various times during [Collier's] tenancy, all four bedrooms at the [] Property were rented to different occupants, and at other times [Defendant] occupied one bedroom while continuing to rent the remaining 18 bedrooms to separate tenants," and that "[Defendant] operated the [] Property as a multi-occupant residential rental property by renting separate bedrooms to multiple tenants, including at times renting all four bedrooms at the [] Property to separate occupants." (SAC, ¶¶ 39-98.) The requirement of factual adjudication to establish applicability of the business exclusion and the overlap between the issues raised by Plaintiff and Collier cannot reasonably be disputed in light of Plaintiff's propounding discovery to uncover facts which read the same, word-for-word, as Collier's SAC.

Moreover, Collier included these allegations in the SAC to support his seventh cause of action for wrongful eviction and violation of Civil Code section 1946.2. (SAC, p. 18:8-10.) Specifically, Collier argues that "based on the manner in which [Defendant] operated the Subject Property during [Collier's] tenancy, the tenancy was subject to the TPA, including Civil Code section 1946.2," and that "[i]n the unlawful detainer action later filed by [Defendant] arising from the same tenancy and [] Property, Defendant further alleged that [Collier's] tenancy was governed by Civil Code section 1946.2 and proceeded on a purported no-fault just-cause basis. On information and belief, [Defendant is] estopped from taking an inconsistent position in this action." (SAC, ¶¶ 40-41, 98.) The factual determination of whether Defendant operated the Property in such a manner during Collier's tenancy is a material, disputed fact which would either establish or undermine Collier's seventh cause of action for violation of the TPA.

Finally, the consideration of prejudice to the parties weigh strongly in favor of staying this action. In exercising discretion to stay a declaratory relief action to determine the existence of an insurer's duty to defend, "the trial court should consider the possibility of prejudice to both parties." (Great American Ins. Co., supra, 178 Cal.App.4th at 236.)

Case law has established three types of potential prejudice to an insured: (1) Where the insurer "join[s] forces with the plaintiffs in the underlying action[] as a means to defeat coverage," which depends on the factual overlap with the underlying action, such as "where an insurer attempts to avoid coverage by arguing that its insured harmed the third party by intentional conduct—proof of which would obviously be of great assistance to the third party in the underlying action"; (2) Where "the insured is compelled to fight a two-front war, doing battle with the plaintiffs in the third party litigation while at the same time devoting its money and its human resources to litigating coverage issues with its carriers," which is not dependent on the existence of factual overlap with the underlying action and will "be an issue for the trial court to consider every time an insured seeks to stay a declaratory relief action while the underlying action is still pending"; and (3) Where "the declaratory relief action is tried before the underlying litigation is concluded, [and] the insured may be collaterally estopped from relitigating any adverse factual findings in the third party action, notwithstanding that any fact found in the insured's favor could not be used to its advantage," which depends on the factual overlap with the underlying action. (Ibid.) Courts have also recognized that the potential prejudice to the insurer which must be considered is prejudice resulting if, in the event that the insurer is correct and it does not, in fact, have any further duty to defend, "the insurer would be required to continue to pay defense costs until the declaratory relief action is resolved," thereby requiring the insurer to keep paying defense costs indefinitely while the declaratory relief action is stayed. (Id. at 236-37.)

Here, Plaintiff seeks determination of numerous questions of fact that are material to the adjudication of the Collier Action. To permit the present action to proceed and allow Plaintiff to conduct discovery and adjudicate these issues would amount to Plaintiff joining forces with Collier to prove essential elements of Collier's causes of action, force Defendant to fight a 'two-war front' in defending material triable issues of fact against not only Collier, but his insurer, and would result in Defendant being collaterally estopped from litigating any adverse findings in the Collier Action which bear directly on his liability to Collier. Therefore, the prejudice to Defendant is severe.

To the extent Plaintiff attempts to argue that staying the action will cause Plaintiff to suffer prejudice in providing defense to Defendant in the Collier Action, it has long been recognized by courts that the prospect that an insurer may suffer prejudice if it is required to provide a defense, where the duty to defend is ultimately proven to have never existed and the cost of which may not be recoverable, "is one that is routinely faced by all insurers whenever a potential for coverage exists." (Cal. Ins. Guar. Ass'n, *supra*, 231 Cal. App. 3d at 1627.) Even where the prejudice of payment for defense exists, courts do not recognize exceptions "to the general rule restricting declaratory relief actions where coverage turns upon facts to be litigated in the liability action," as "a very substantial and prejudicial burden would be imposed upon the insured" and "it could be exposed to inconsistent judgments which impose liability to [the insured] in the underlying action, but determine the absence of coverage in the declaratory relief action." (*Ibid.*) Therefore, "[a] coverage action should not proceed [] if it may result in factual determinations that would prejudice the insured in the third party action." (GGIS Ins. Services, *supra*, 168 Cal. App. 4th at 1504.)

Accordingly, Defendant's motion to stay the proceedings pending final resolution of the Collier Action is GRANTED.

V. Conclusion

Defendant Dillon S. Sandidge's Motion to Stay Proceedings is GRANTED. This action shall be stayed in its entirety until final resolution of the Collier Action.